

This chart is important in that it reflects the *results* of the higher interest rates of the past two decades and shows that the government's high and rising interest cost will be part of the *cause* of still higher rates for government debt. While any further increase in rates will force up this percentage, ultimately a rising percentage will heighten creditors' perception of the coming crisis. They will demand a higher compensation for the risk, which will force interest rates up even further. When the world panics over U.S. solvency and moral resolve, nothing will halt the downward spiral of eroding confidence. These factors will constitute a self-reinforcing spiral until a point of crisis is reached.

The prospect for a depression, and therefore a severe drop in the total tax take with which governments pay the interest they owe, suggests that most issues of government debt, local and national, will eventually be valued at or near zero. A *de facto* default will take place if the depression lowers tax receipts so much that governments must stop interest payments on debt. Local governments have defaulted before with only moderate remorse, but the U.S. government is in the unique position of having issued the world's "reserve currency," a fact that will make it want to maintain its credibility with foreign creditors as long as conceivably possible. After all, foreign central banks own one-fourth of all U.S. government debt, and if they were to sell in a panic, the Treasury's bonds would be smashed. The government's first option in the crisis might be to declare a moratorium on *domestically* owned U.S. bonds, notes and ultimately even bills. The moratorium may be effected by a declaration that the maturity dates have been "temporarily extended" and interest payments "temporarily reduced" to "reasonable levels" or even suspended due to the "national emergency," but by whatever means, interest payments to U.S. creditors will probably cease or be drastically cut. Bondholders, it will be pointed out, are mostly rich and can afford to wait. It is doubtful that foreign bondholders will continue to lend under such circumstances, and unlikely that they will refrain from identifying any such situation as a golden opportunity to sell. Whether or not the term is used, the Federal government will be bankrupt by the end of the process.

Today there is no shortage of people who believe that the U.S. government's promises are as good as gold. Anyone who is confident that its debt will survive unaffected in a depression is welcome to take the risk of buying the Treasury's bonds. There is no way I will risk being one of the government's long term creditors, though, and neither should you.